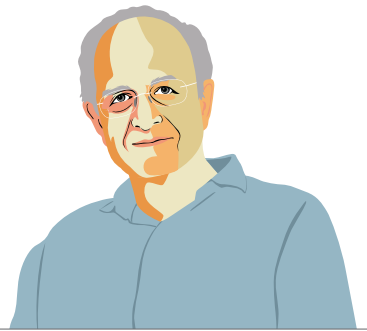


Reimagining India's Public Sector

India's policies since 1991 have been to get government out of business' way. Robust public sector is needed for providing basic needs equitably



112 |

THE PURPOSE OF economic progress must be to improve the lives of human beings while preserving the sustainability of the natural environment that nurtures all life. India's GDP has been growing well for many years; and may be growing faster than other countries now. However, the pattern of India's higher growth since 1991 has not served its citizens as well as other countries' growth has. A comparison reveals that not only have per capita incomes increased less, but, worse, India is a laggard in human development.

China and Vietnam did not abandon their 'socialist' strategies for development, while India's policymakers were persuaded to change course to adopt a more 'liberal capitalist' model in 1991. The contrast between India and China's and Vietnam's progress is stark. China, equally poor 25 years ago, is far ahead of India now. Even very poor Vietnam has surpassed India. (See table)

Human development is the foundation for economic growth. Contrary to Ronald Regan's dictum that "government is the problem, not the solution", human development needs more government to provide equitable and affordable public services, in health, education, and essential utilities such as water, sanitation, electricity, public transportation, and basic financial services. China and Vietnam's human foundations

have been built by government enterprises, which they have not abandoned much to the chagrin of Western economic ideologues.

The societal value created by public enterprises cannot be gauged by the financial value they create for investors. Private sector banks may produce more value for financial investors (including the government as an investor). The value they create for society must be gauged by how much they improve the well-being of the poorest citizens. By this measure, the State Bank of India and Life Insurance Corporation of India are better performers than India's best private banks.

A private enterprise's concern is its own profit and survival: A government's concern should be all citizens' survival. Private sector enterprises are not designed to serve citizens who cannot afford good education, health, and other essential needs. They will abandon their lofty ESG (environmental, social, and governance) and DEI (diversity, equity, and inclusion) commitments when pressured by stock markets. Witness the recent hasty retreat, and sighs of reliefs by US corporate leaders who can now get on with their principal function of increasing their companies' stock market valuations (and their own compensations). An ideology that worships private wealth will bail out "too big to fail" institutions and abandon "too small to survive" citizens in a crisis.

BY ARUN MAIRA
FORMER CHAIRMAN,
BCG INDIA, AND FORMER
MEMBER, PLANNING
COMMISSION